

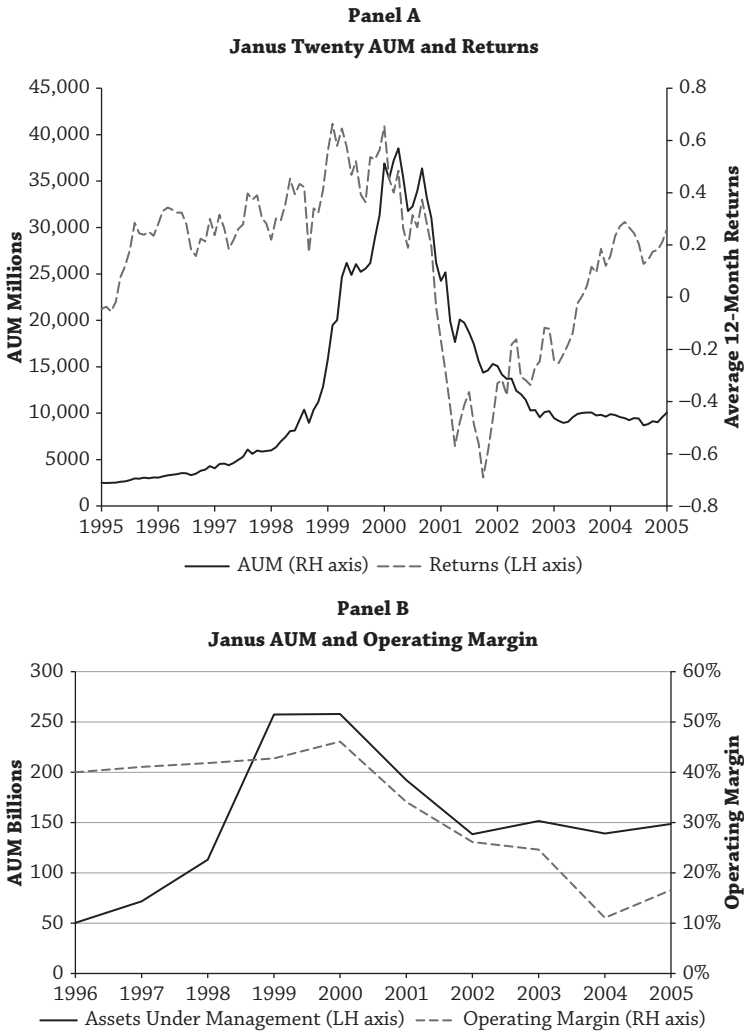


Figure 16.1

was enjoying operating margins above 40%.) For comparison, the juggernaut of retailing efficiency, Wal-Mart Stores Inc., generates operating margins slightly above 5%.⁵ Janus was partly saved by its INTECH division, which managed money using quantitative trading techniques (including a version of the rebalancing premium; see chapter 4). INTECH constituted less than 3% of Janus's AUM in the late 1990s and grew to over 35% of its AUM in 2006. But the main savior of Janus was its surprisingly loyal investors. Despite poor performance and SEC investigations, enough money remained so that Janus still ranked in the top ten mutual

⁵ Wal-Mart's operating margin in 2011 was 5.9%.